

PENN DISTRICT DEVELOPMENT PROJECT STATUS REPORT

INTERNAL MEMORANDUM - VORNADO REALTY TRUST

TO: Executive Committee & Asset Management Division
FROM: John Vance, Senior Vice President of Development
DATE: October 15, 2026
RE: PENN 2 Redevelopment Project Status & Lease Liability Analysis (Apex Fintech)

1. Executive Summary

This report provides an update on the progress of the PENN 2 Redevelopment Project (Two Penn Plaza Modernization) managed by our general contractor, **Turner Construction**, and evaluates schedule and budget impacts on pending tenancy milestones. Overall project progress is at 88%. While base-building structural renovations, the Seventh Avenue cantilever canopy, and core facade glazing are completed, significant interior fit-out delays and TI cost overruns have emerged. Specifically, the delivery of tenant floors 12 through 18 has been severely delayed due to custom HVAC equipment failures and elevator pit structural reinforcement. This delay triggers landlord liability under the draft lease agreement with Apex Fintech Solutions LLC. Additionally, due to HVAC testing delays and contractor coordination issues, Turner Construction is projecting a **\$8.00/RSF cost overrun** on Tenant Improvement works, increasing the final TI cost to **\$158.00/RSF** against the \$150.00/RSF budget.

2. Detailed Construction Progress & Delayed Milestones

The critical path of the interior fit-out is constrained by two primary factors:

- (a) Custom HVAC Air Handling Units (AHUs):** The custom outdoor AHUs manufactured in Texas failed factory pressure testing in September 2026. Correcting these design defects and re-testing has pushed the shipping date to February 2027, with installation and mechanical connection scheduled for completion in June 2027. Core HVAC services cannot be energized for floors 12-18 until this occurs.
- (b) Elevator Shaft Pit Upgrades:** Reinforcements of the elevator pit structural slabs in the mid-rise elevator banks took 6 months longer than scheduled due to bedrock water infiltration. Full elevator service to floors 12-18 is now delayed until May 2027.

Milestone Phase	Original Schedule Date	Projected Actual Date	Variance & Primary Drivers
Structural Demolition & Demising Walls	June 1, 2026	June 15, 2026	+14 days (Minor labor shortage)
Rough-In Mechanical & Electrical (MEP)	October 1, 2026	April 1, 2027	+182 days (HVAC equipment delay)
Sheetrock & Drywall Close-In	December 1, 2026	May 30, 2027	+180 days (MEP dependency)

Substantial Completion & Delivery Date	January 1, 2027	July 15, 2027	+195 days (HVAC/Elevator critical path)
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3. Lease Liability & Financial Impact Analysis (Apex Fintech)

Under the current draft lease for Apex Fintech Solutions LLC (entire 14th & 15th floors, 130,000 RSF), the Landlord's Target Delivery Date is set at **June 1, 2027**. Because the projected actual Delivery Date is now **July 15, 2027**, the delay duration stands at forty-four (44) calendar days past the threshold.

Per Section 3.3 of the Apex lease, the delay triggers the following concession penalties:

- **Initial Delay Penalty (1-for-1):** The Rent Commencement Date is deferred by 1 additional day of free rent for each day of delay from June 1, 2027 through July 15, 2027. This results in exactly **44 days of additional Base Rent abatement**.
- **Total Concession Impact:** Original Base Rent abatement of 12 months (365 days) is extended by 44 days, totaling 409 days of rent-free period starting from the actual Commencement Date (July 15, 2027).
- **Cash Flow Inflection Timeline:** Rent Commencement shifts from the nominal projected date of January 1, 2028 (assuming on-time delivery on Jan 1, 2027) to **August 27, 2028** (July 15, 2027 + 409 days free rent, accounting for the 2028 leap year).
- **GAAP vs Cash NOI Impact:** While GAAP rental revenue will be recognized straight-line over the term, Cash NOI collection will be delayed by an estimated 239 days relative to the original underwriting model. This creates a Cash NOI deficit of **\$1,723,835.62** for the calendar year 2027/2028 (calculated at 44 days * \$39,178.08 per day base rent rate).